
Mock exam: Part 1 feedback

LSE GY457 - 2025/26
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Overall: General impression

- At this stage, most answers are not yet at exam standard
 - ... Which is fine, since is a mock exam and there is 2 more months
- Shown some understanding/knowledge of main issues and topics
- But: incomplete answers, weak structure, vague mechanisms, insufficient use of the literature
- In the exam, partial familiarity is not enough
- Need complete, clear, and well-structured answers

Overall: Main recurring problems

- Biggest issues were (i) not answering the question in full and (ii) not being precise enough
- Many scripts:
 - answered only one part
 - gave general discussion instead of the specific theory asked for
 - stopped before developing the argument
 - showed some familiarity with concepts, but not enough ability to explain and apply them precisely
- In the exam, helpful to check if you have answered everything you were asked for

Question 1

- Essay-style question
- “Traditional urban economics models view cities as aligned around a single centre, the so-called Central Business District (CBD). In this class of models, firms concentrate in the CBD, despite paying higher rent. Critically assess this statement, with reference to economic theory and empirical evidence. Should we expect cities to become more polycentric? Discuss. (100 marks)”

Question 1: What was asked

- A strong answer would cover:
 - monocentric model / bid-rent logic
 - why firms may prefer to pay higher rents to be in CBD
 - agglomeration and its extensions (endogenous agglomeration and bilateral spillovers)
 - use of empirical evidence and appropriate use of the literature
 - discussion of whether cities may become more polycentric and under which conditions
- Essay-style answer (intro + central body + conclusion)
- Many had a few of these, but not the full chain

Question 1: Common weaknesses

- Answers remain at the level of general intuition
 - Firms cluster, city centers are expensive, polycentric cities may be better
- Question asks and requires more than that
- Common missing elements:
 - Bid-rent logic
 - why CBD specifically matters
 - bilateral spillovers / endogenous agglomeration
 - discussion of why subcenters emerge
 - evidence used analytically rather than dropped-in
 - ground discussion about polycentricity to material, not opinions

Question 1: What to do in exam

- Start from monocentric city model, not from opinions about cities
- Build argument in sequence of logical steps
- Use evidence and literature to support argument throughout the essay
- Your own view may emerge in conclusion, but only as synthesis of the arguments developed in the write-up
 - Conclusion should synthesize, not introduce unsupported views

Question 2

- Partitioned question
- 2a: the two explanations for suburbanization under monocentric city model framework (30 marks)
- 2b: one theory that explains both suburbanization and the reversal (40 marks)
- 2c: welfare analysis of winners and losers from gentrification (30 marks)

Question 2a

- Naming the two explanations not enough
 - Need to explain the mechanisms through the lens/logic of monocentric city model
 - Describe the hh tradeoff between commuting and housing consumption, and describe how the curve becomes flatter
 - Some mixed in extra material on agglomeration or housing density that was not needed
 - Some confused who suburbanized and under what assumptions
 - If graph used, needs to be correctly interpreted/labeled
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Question 2b

- Choose one theory and explain its logic in detail
- Some described suburbanization/gentrification in words, but did not explain a specific theory we covered in class (or mixed them)
- Missed opportunity is not naming the reading/model clearly enough and not engaging with its logic step by step

Question 2c

- Many identified the basic distributional points correctly
 - homeowners/landlords often gain, renters lose
- Weak answers stopped there: owners win, renters lose
- Not enough for a complete answer
- Missing elements included: movers vs stayers, short-run vs long-run welfare, whether households value new amenities, empirical nuance across contexts, when some low-income may benefit
- Treat this as welfare question, not a descriptive one

Diagrams: Some helped, some did not

- A graph only helps if
 - Is the right one
 - Is correctly and clearly labeled
 - Explained in words and integrated in text
- Several exams had diagrams that were vague, incomplete, or not integrated to the answers